

Why Financial Goals Are Important

You wouldn't start out on a long trip into unfamiliar territory without a road map, yet many people go through life without a concrete plan for their financial future. In fact, most people spend more time planning a single vacation than they spend on financial planning. The road you take to financial freedom can lead directly to your destination or to a dead end. Specific financial goals and written plans for meeting them help you focus your efforts on the end result.



Starting in your twenties is a huge advantage. If you invest \$5,000 at the age of twenty, and it earns 7 percent interest per year, at retirement (age seventy) it will total over \$147,000. The same amount invested at the age of forty would total less than \$29,000.

Goals are like the wheels on your car; they keep you moving in the direction you want to go, and you won't get very far without them. If you haven't already started planning for your future, now's the time to begin, no matter what your age.

Saving and investing in your twenties will give you the most powerful financial tool available: time. In fact, the smartest thing you can do in your twenties is save and invest. Ultimately, you'll have to save and invest a lot less money at a time and will still come out far ahead of the person who starts a decade or two later. As the saying goes, "Most people don't plan to fail, they just fail to plan." Without planning, even the best of intentions lead nowhere. Start mapping out your route now. Your entire future depends on it.